While the maintenance of peace and tranquillity after a conflict is no mean achievement, the boundary question acquired greater prominence as ties improved. Understandably, it was seen as key to a full normalization of ties and a step that would strengthen both parties with regard to the world. However, the two sides could not grasp the opportunities that came their way. Foreign Minister Atal Bihari Vajpayee made an earnest effort in 1979 that ended up undermined by the Chinese attack on Vietnam. Thereafter, interest was reaffirmed by Deng Xiaoping himself on multiple occasions, but never realized concretely. However, with China's modernization gathering pace and with India sliding into domestic troubles, that country made a policy change of some consequence. In characterizing the eastern sector as the main area of dispute, China went back on the positions taken by Zhou Enlai before the 1962 conflict and by Deng Xiaoping after it. Its implications for the boundary negotiations were long-lasting. Even though the political parameters and the guiding principles for a boundary settlement were eventually worked out in 2005, this changed focus created a new conundrum.

With the end of the Cold War, the overall political atmosphere changed for the better, despite the boundary dispute and the nuclear collaboration with Pakistan. Moves towards normalization gathered further pace, notwithstanding India's 1998 decision to finally go nuclear. By 2003, the establishment of the Special Representatives mechanism showed a genuine desire for a breakthrough on the border dispute. It also saw some progress on the boundary negotiations and considerable optimism on trade. China was designated as a strategic partner and there was serious thinking about a free trade agreement. Climate change and the Doha Round of trade negotiations provided the basis to make common cause in the global arena. The BRICS process, starting in 2006, affirmed a sense of non-Western bonding and briefly, Indian diplomacy seemed to be making the best of all worlds.

There were, however, signs even during this period of the influence of larger events. In 1998, the US and China came together to oppose India's nuclear tests vehemently. But it did not proceed further as adept Indian diplomacy cut its own deal with the US. However, what it did during Clinton's second term was to encourage a Chinese interest in forging a G-2